

bit, he could have walked away a rich man without anybody the wiser, and perhaps the game could have gone on for longer. I think he fell into a trap of his own making. Once stock prices rise to a certain level, you need increasingly bigger purchases to maintain the stock price. Else, the price will simply collapse and trigger further selling as more people exit the stock in panic. I feel that even if the game had been prolonged, the end result would not have been any different, knowing Harshad and his eternally bullish world view.

The Big Bull eventually ran out of luck in April. The starting point of his trouble was the government's decision to establish SEBI to supervise the stock exchanges in the country. The first major decision by SEBI was to ask brokers to re-register themselves by paying a higher registration fee. The powerful broker lobby, which until then used to set its own rules, did not take to the SEBI diktat kindly. In protest, many exchanges across the country went on strike from 16 April to 24 April. All trading activity came to a standstill.

This made matters difficult for Harshad as he was counting on the pay-out from BSE to repay the funds he had 'borrowed' from the State Bank of India (SBI), promising to buy them securities. While reconciling its books, SBI found that Harshad had not delivered the securities he had taken money for. The bank pressured Harshad to either deliver the securities or repay the money, and before Harshad could reach a settlement with the bank, the matter found its way to the press.

That effectively blew the lid off the scam, and it was found that many banks and financial institutions were not holding the securities they had paid for, or were holding fake or forged bank receipts instead of the actual securities. News of the scam sent the market into a tailspin, and the Sensex crashed to below 3,000 by the end of May. The size of the scam was initially estimated at a little over Rs 4,000 crore. Later, the Central Bureau of Investigation (CBI) put the figure at over Rs 8,300 crore, based on the cases registered.

Harshad was not the only one in trouble. The scam tarnished many reputations on Dalal Street, ended many promising careers at the banks involved in the scam, and also ruined the lives of many junior employees who were only following orders.

Later, a report by the Joint Parliamentary Committee probing the scam would say that irregularities in bank receipts had been going on since 1986,